

Quite a few companies indulged in what was known as ‘round-tripping’. This effectively consisted of promoters stealing money from their companies by fudging the account books and transferring the money overseas, either through *hawala* or through a seemingly legal but shady transaction. At times, money earned through dubious export/import transactions was directly credited in a foreign account. The promoter then gave this money to a friendly FII that usually managed a cluster of funds investing in various markets across the world.

The FII would use one of the many sub-accounts managed by it to route the promoter’s money back into India. On paper, it would be the FII investing in particular stocks, but behind the scenes stood the promoter deciding which stocks the FII would invest his money in. News of an FII buying a stock would improve the perception of that stock in the market. But usually, when the FIIs bought shares of a particular company, the sellers were entities controlled by the promoters. I have mentioned earlier that many promoters held shares in *benami* accounts, which ordinary investors were ignorant about.

Another way to bring the promoters’ illegal funds back to India was through a private placement of shares by their companies. This allowed the company to offer shares to investors of its choice. One of the investors ‘buying’ the shares in this private placement would be the FII with whom the promoter had parked his money.

There were times when the scorching rise in share prices made many of us nervous. We would book profits, only to see share prices climb again. It did not require great intelligence to know that this kind of mad rise in stock prices could not go on indefinitely. But I was reminded of Warren Buffet’s oft-quoted saying: ‘Markets can remain irrational for longer than you can stay solvent.’ The bears were realizing this the costly way.

October brought cheer to the market as the BJP-led NDA coalition returned to power with an improved tally of seats. The Sensex touched the psychological mark of 5,000 for the first time ever on 8 October, and the BSE governing board and other senior brokers celebrated it by floating balloons printed with the number 5,000 from the terrace of the BSE building. The picture appeared in a couple of financial dailies the following day, and some cynical brokers said this was a sure sign of the market having peaked. But this bull market was not going to end so easily.